

93 per cent feel that this modestly-growing industry will move at a slow but steady pace, riding on government policy support (Fig. 1).

Large-scale modernisation of defence forces is on the anvil. The next decade is likely to see exponential growth in combat systems as well as non-platform based SE programmes.

Opportunity for electronics in India stems across both standalone systems (as part of platforms) as well as at a sub-system level for other systems. According to a report prepared by India Electronics and Semiconductor Association (IESA), NASSCOM and Roland Berger, India's A&D electronics opportunity may generate a business of around US\$ 72 billion in the next 10 to 12 years. Of this, almost US\$ 53 to 54 billion will be for electronics acquired as part of platforms (that is, at tier 1 and tier 2 levels). Demand of US\$ 17 to 18 billion would come from projects that are traditionally called system-of-systems (non-platform based) projects like:

- Tactical communication systems
- Battlefield management systems
- Network-centric warfare systems
- Future infantry soldiers as systems
- Tank electronics
- Air defence systems
- Avionics, navigation equipment, radar and sonar
- Night-vision devices

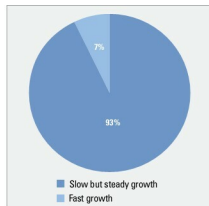


Fig. 1: Forecast on growth pattern of SE sector in India

"The last one year has been an important one. Ever since this government came to power, defence procurements have grown and old proposals have been taken forward. In today's dynamic times, we feel the terms of the request for proposals should remain flexible, based on changing requirements."

"One single achievement that can be seen now at our end is that we are changing the mindset of defence personnel with regards to suppliers. There is a need to stress on being the lead integrator rather than a manufacturer of everything."

—Manohar Parikkar, minister of defence, government of India, at SES 2016



- A host of associated and embedded electronics

While the above market projections are for the next 10 to 12 years, there could be additional momentum with additional programmes being announced in the interim.

Another growth opportunity is the potential to integrate into global value chains of original equipment manufacturers (OEMs) (initially leveraging the offset route and subsequently based on product quality, service delivery advantages and cost arbitrage).

Revamped procurement policy

In the last one year, the SE sector had got a policy boost through the amendment of Defence Procurement Policy (DPP). Of the respondents to the survey, 85 per cent feel that DPP 2016 plugged all the loopholes of the previous policy. However, the remaining 15 per cent feel it needs more tweaking (Fig. 2). Here is a collation of their views and our analysis on the key provisions of DPP 2016.

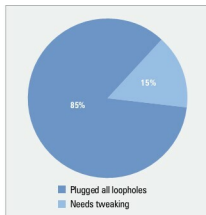


Fig. 2: Views on DPP 2016

Inclusion of Buy Indian-IDDM procurement category

DPP 2016 includes a special category called Buy Indian (Indigenously Designed, Developed and Manufactured), or Buy Indian-IDDM, that will get the highest priority in the defence procurement process—above all other categories, namely Buy and Make (Indian), Buy and Make, and Buy (Global), in that order. According to our panel of experts, inclusion of this new procurement category, Buy Indian-IDDM, will provide a greater thrust to Make in India initiative in defence production.

If implemented properly, this would promote in-house design capacity and higher localisation, strengthening the role of the domestic industry, especially the private sector, in defence production. However, it is to be noted that the responsibility to prove an indigenous design rests with the industry, while the final approval would come from the government.

DPP 2016 will follow a committee system comprising scientists from Defence Research and Development Organisation (DRDO) and members of the concerned service headquarters (SHQs) to examine industry claims on levels of indigenisation. Therefore quick roll-out of Buy Indian-IDDM will also depend on the efficiency and agility of the newly-provisioned committee.

Higher but flexible rule for indigenous content requirement

DPP 2016 has enhanced the indigenous content requirements under the existing Buy Indian category from